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PART II

Statutory Notifications (S.R.O.)

GOVERNMENT OF PAKISTAN

MINISTRY OF WATER AND POWER

NOTIFICATION

Islamabad, the 3rd August, 2015

S. R. O. 756 (I)/2015.—In pursuance of sub-section (4) of section 31 of the Regulation of Generation, Transmission and Distribution of Electric Power Act, 1997 (XL of 1997), the Federal Government is pleased to notify the following reference tariff of Short Term Independent Power Producers determined by National Electric Power Regulatory Authority for existing Available Generation Capacity, namely:—

Reference Tariff

Tariff Components	Year 1	Year 2	Year-3	Indexation
Fixed Cost Component PKR/kWh)				
O&M	0.3098	0.3098	0.3098	Local CPI quarterly basis
Cost of Working Capital	0.1725	0.1725	0.1725	KIBOR
Insurance	0.0261	0.0261	0.0261	—
WACC	0.5177	0.4899	0.4584	
Depreciation	0.2013	0.2381	0.2695	
Total Capacity Charge	1.2363	1.2363	1.2363	

(2791)

[1206 (2015)/Ex. Gaz.]

Price : Rs. 3.00

Tariff Components	Year 1	Year 2	Year 3	Indexation
Energy Charge on Operation on RFO Rs./kWh				
Fuel Cost Component	9.1728	9.1728	9.1728	Fuel Price
Variable O&M	087.07	0.8707	0.8707	Local CPI quarterly basis

Note: (i) Component wise proposed tariff for operation on RFO is indicated at Annex-I.

1. The following indexation shall be applicable to the reference tariff as follows:

Fixed O&M

- (i) $F O\&M_{(REV)}$ = Rs. 0.3098/kWh x $CPI_{(REV)}/198.80$
Where:
 $F O\&M_{(REV)}$ = The revised applicable Fixed O&M Local Component of the Fixed Cost Component indexed with Local CPI on quarterly basis.

- $CPI_{(REV)}$ = The revised Local CPI (General)
(ii) Variable O&M

The formula for indexation of variable O&M component will be as under:

$V O\&M_{(REV)}$ = Rs. 08707/kWh x $CPI_{(REV)}/198.8$
Where:

$V O\&M_{(REV)}$ = The revised applicable Variable O&M Component of the Fixed Cost Component indexed with local CPI on quarterly basis.

$CPI_{(REV)}$ = The revised local CPI (General)

Terms & Conditions:

- Fuel shall be responsibility of the power producer
- Interconnection shall be responsibility of the power purchaser
- Merit Order shall be strictly followed by the NPCC
- Tariff shall be on take and pay basis
- Tariff, eligibility criteria and terms and conditions laid down by the Authority shall be part of the Power Purchase Agreement

Eligibility Criteria

- Permissions from the relevant entities for the utilization of plant and machinery, where applicable.
- Incorporation of Special Purpose Company under the laws of Pakistan
- Project Company to obtain Generation License from NEPRA
- No objection from NAB for utilization of plant and machinery (in case of defunct rental projects) where applicable

- Unconditional and irrevocable waiver of claims of arbitration against Government of Pakistan, and its entities (in case of defunct rental projects), where applicable.
- The power producer shall submit the consent from the power purchaser for purchase of electricity alongwith the power evacuation plan

Indexation

The Authority has decided to allow indexation on account of variable O&M, fixed O&M on quarterly basis with local CPI. In case of cost of working capital the same shall be adjusted on the basis of quarterly KIBOR. The fuel price adjustment shall be made in accordance with the IPPs prescribed mechanism. The power producer shall submit the relevant documents indicating the fuel price, freight etc. for adjustment of the fuel price variation and within 7 working days the adjustment on account of fuel price variation will be made.

Annexure-I

GENERATION TARIFF FOR SHORT-TERM INDEPENDENT POWER PRODUCERS (STIPPS)

Year	Energy Purchaser/ Price (Rs/KWh)			CAPACITY PURCHASE PRICE (PAKR/KWH)						Total
	Fuel	Var: O&M	Total EPP	Fixed O&M	Cost of W/C	Insurance	WAC	Depreciation	Total CPP	Tariff Rs./kWh
	Component									
1.	9.1728	0.8707	10.0435	0.3098	0.1725	0.0261	0.5177	0.2103	1.2363	11.2799
2.	9.1728	0.8707	10.0435	0.3098	0.1725	0.0261	0.4899	0.2381	1.2363	11.2799
3.	9.1728	0.8707	10.0435	0.3098	0.1725	0.0261	0.4584	0.2695	1.2363	11.2799

- The variable & fixed O&M shall be indexed on quarterly basis with the local CPI. The cost of working capital shall be indexed with KIBOR.
- The fuel price shall be adjusted on account of fuel price variation in accordance with the IPPs mechanism.

[No.Tariff/STIPPS-2015.]

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